

Lending Club Portfolio: Executive Overview

YEAR

2007

2008

2009

2010

2011

2012

2013

2014

2015

GRADE

A

B

C

D

E

F

G

Overview

Loans

Risk

Finance

ROI %

2.86%

Default Rate %

20.0%

Interest Income

\$5.5bn

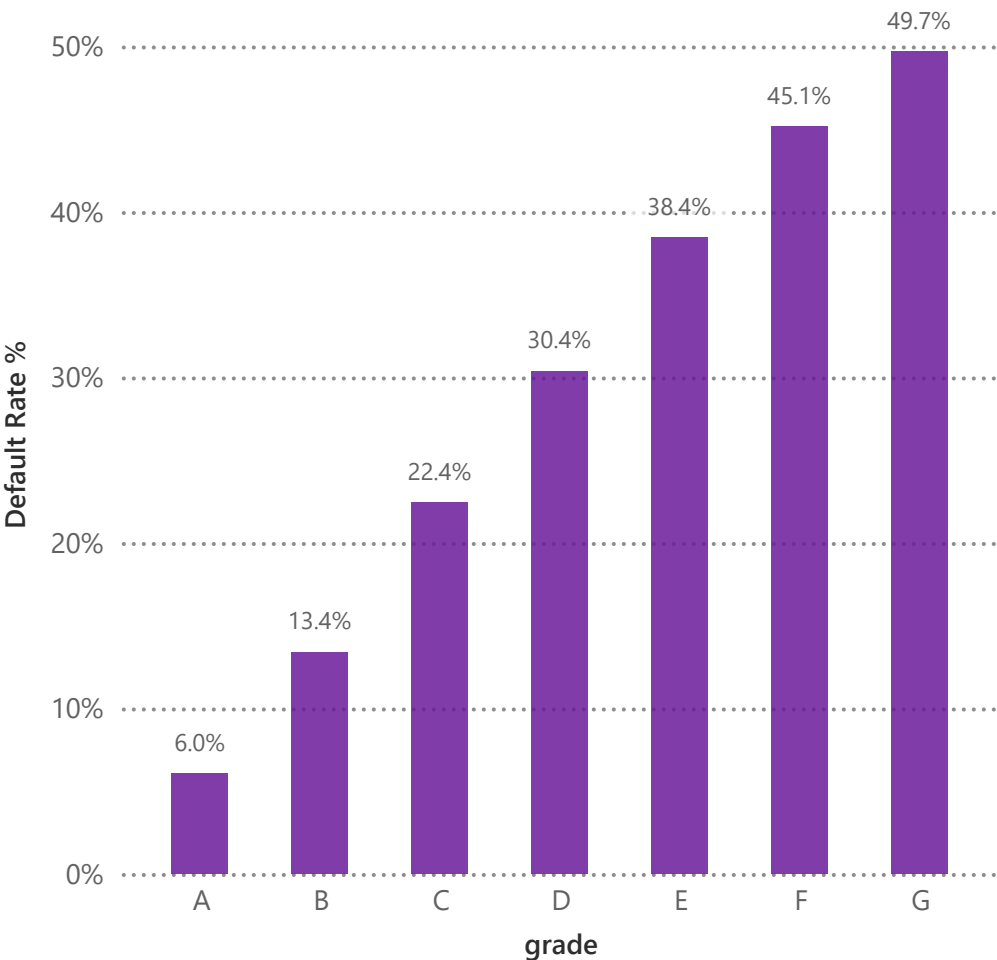
Total Funded

\$34.0bn

Loans

2.26M

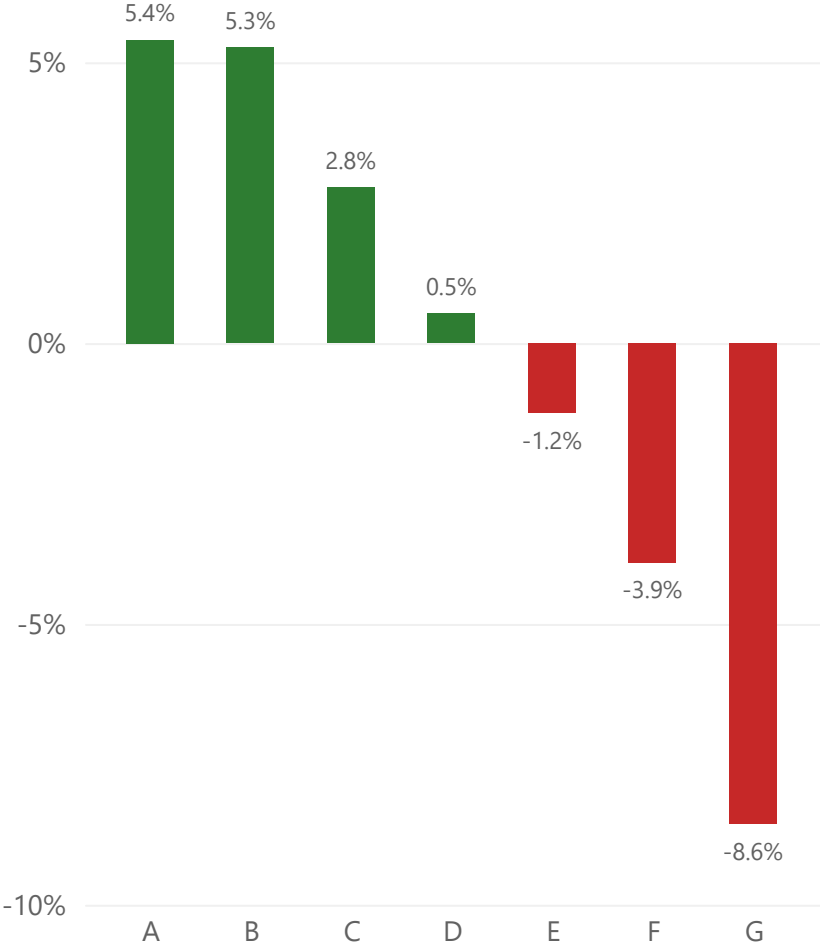
Default Rate % by grade



Total Funded by year



ROI % by grade



E, F and G grades lost \$60.8M combined, while A and B earned 81% of the \$554.8M net profit. Default rate climbs from 6.0% (A) to 49.7% (G).

Loans: Where the Money Goes

YEAR

2007

2008

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GRADE

A

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D

E

F

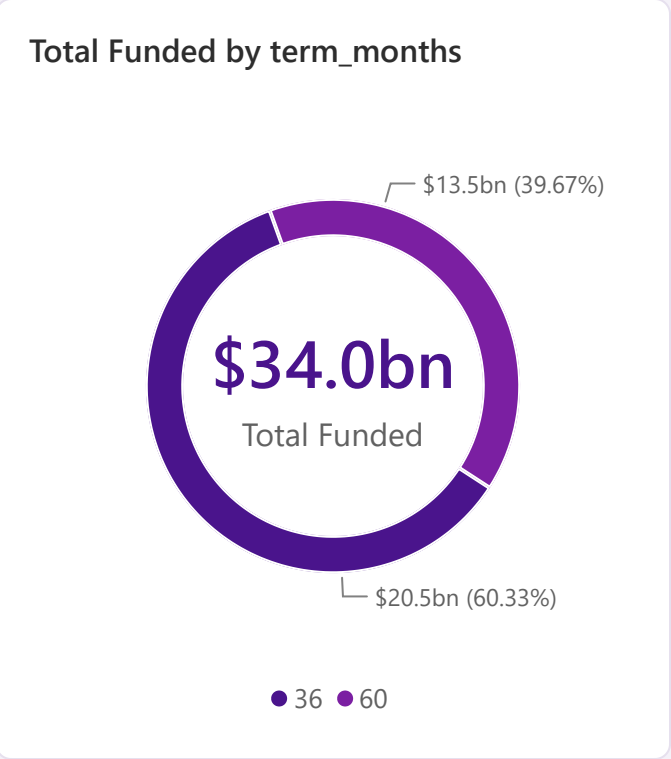
G

Overview

Loans

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Avg Loan Amount

\$15.04K

Avg Interest Rate

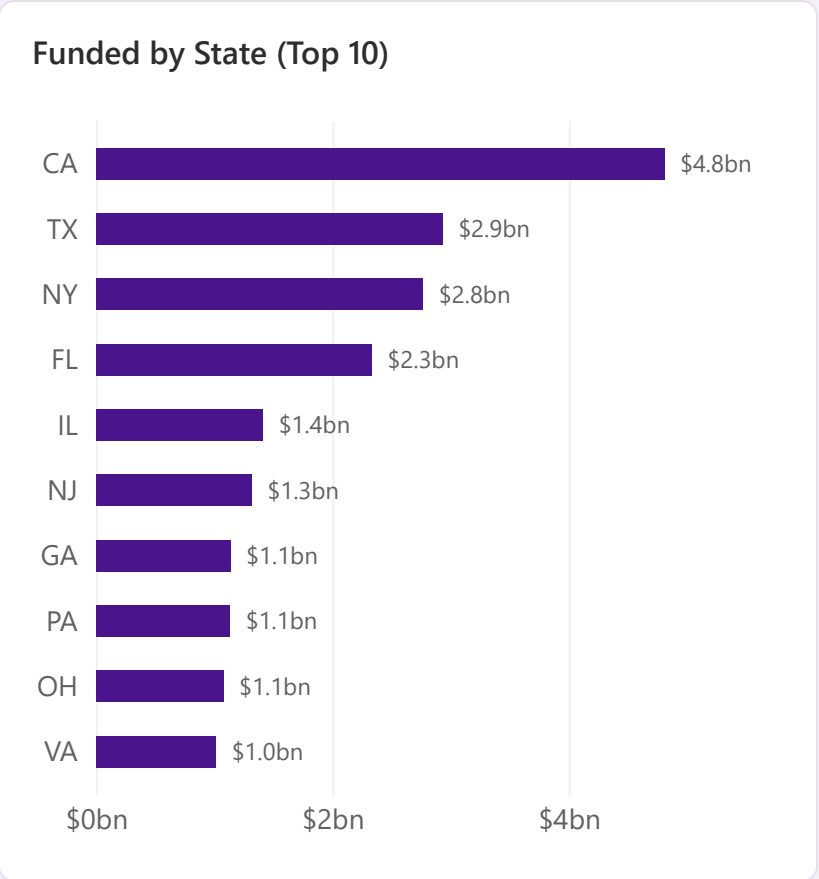
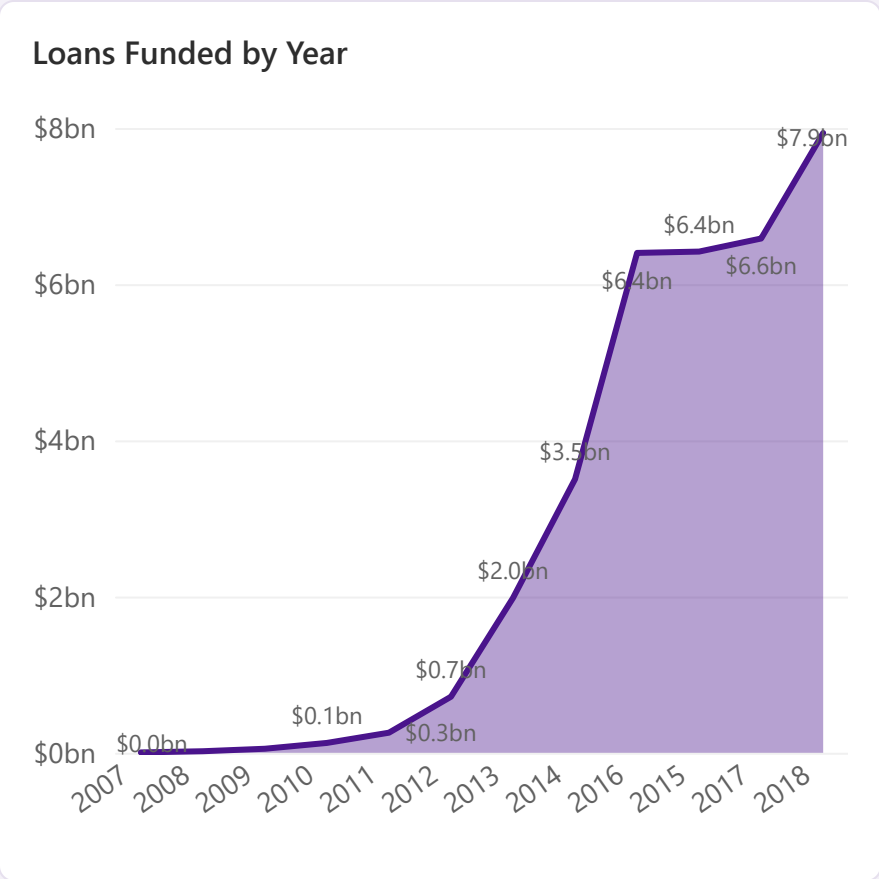
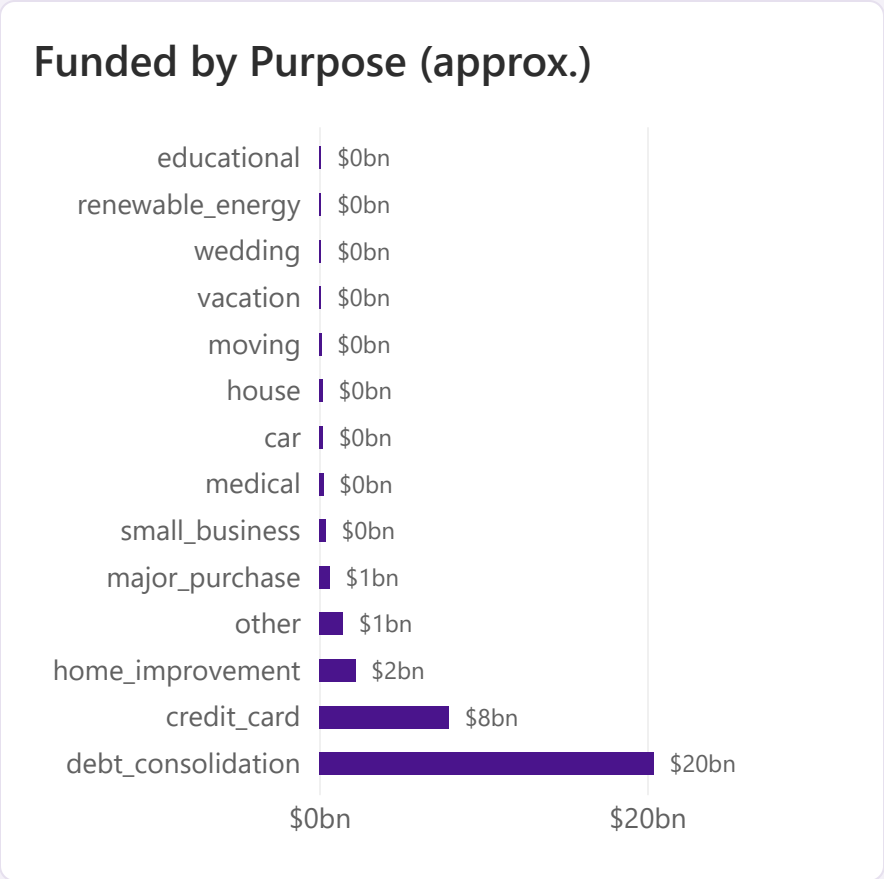
13.38%

Total Funded

\$34.0bn

Loans

2.26M



grade	Loans	Total Funded	Avg Interest Rate
A	4,33,027.00	\$6,32,13,29,325.0	7.07%
B	6,63,557.00	\$9,40,15,57,325.0	10.67%
C	6,50,053.00	\$9,77,35,57,750.0	14.18%
D	3,24,424.00	\$5,09,60,87,575.0	18.18%
E	1,35,639.00	\$2,36,53,86,850.0	21.79%
F	41,800.00	\$79,84,80,275.0	25.46%
Total	22,60,668.00	\$34,00,42,08,600.0	13.38%

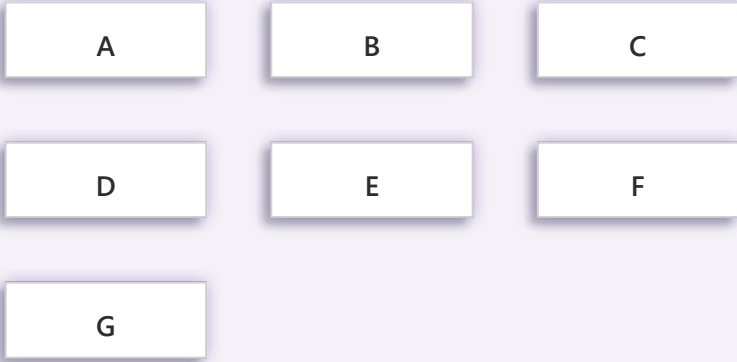
Debt consolidation (~\$20bn) and credit card (~\$8bn) dominate funding. California leads at \$4.8bn. In grade G, 88% of funded dollars sit on 60-month loans.

Risk: Who Defaults and When.

YEAR



GRADE



Gross Loss

\$3.0bn

Defaulted Loans

269K

High Risk Share

18.9%

Default Rate %

20.0%

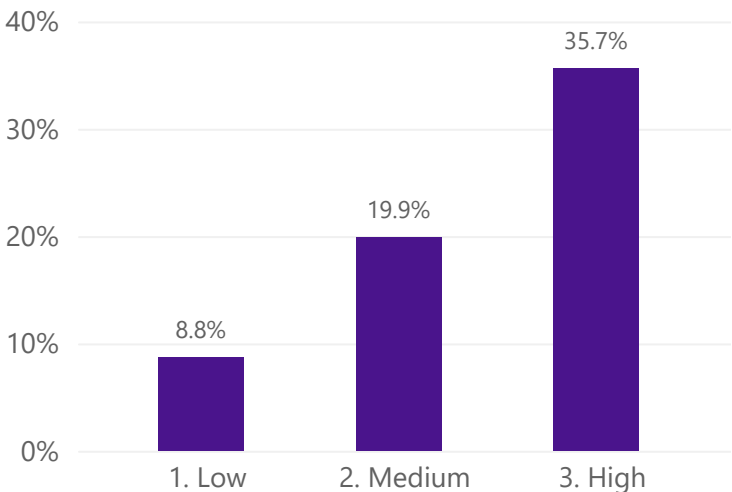
Overview

Loans

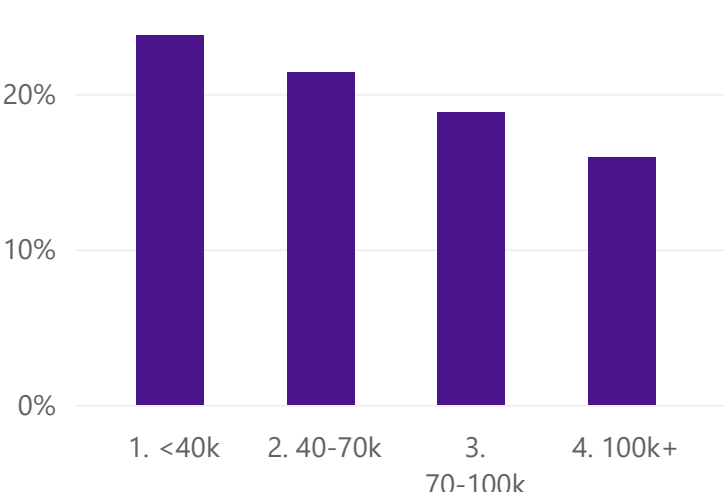
Risk

Finance

Default Rate % by risk_segment

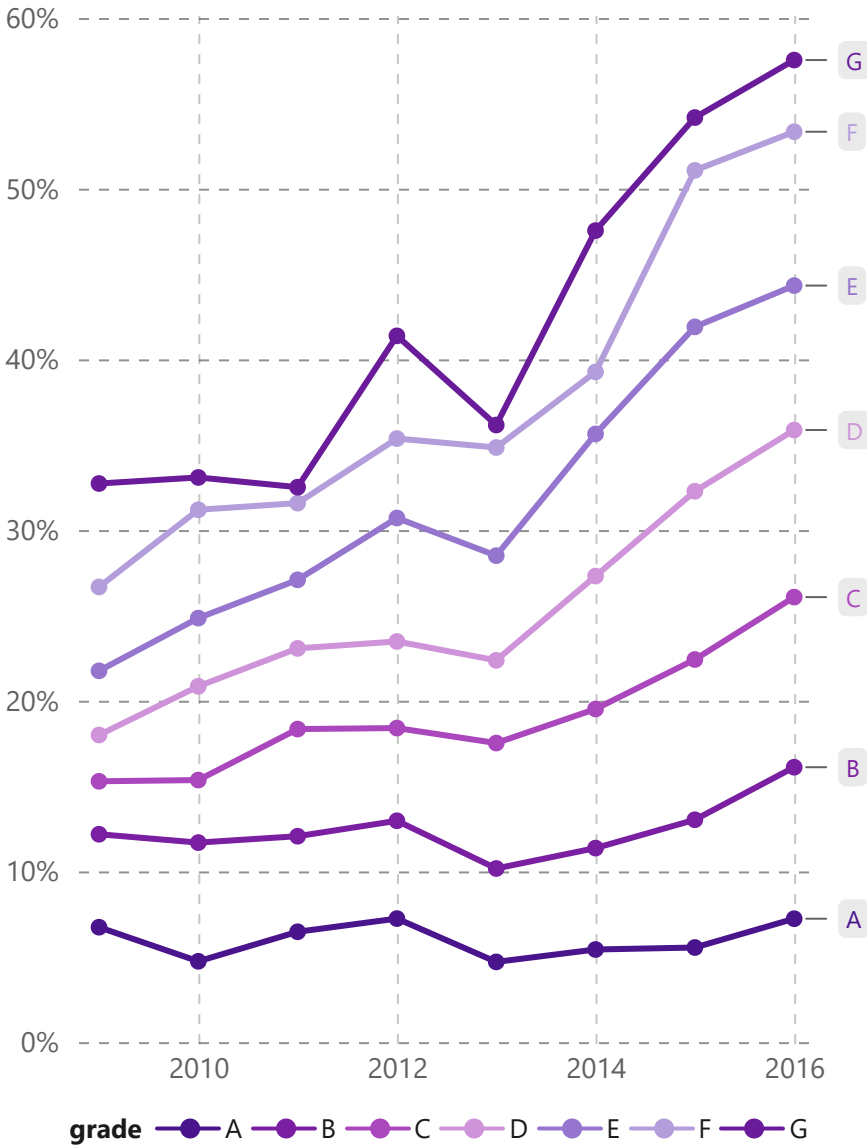


Default Rate % by income_band

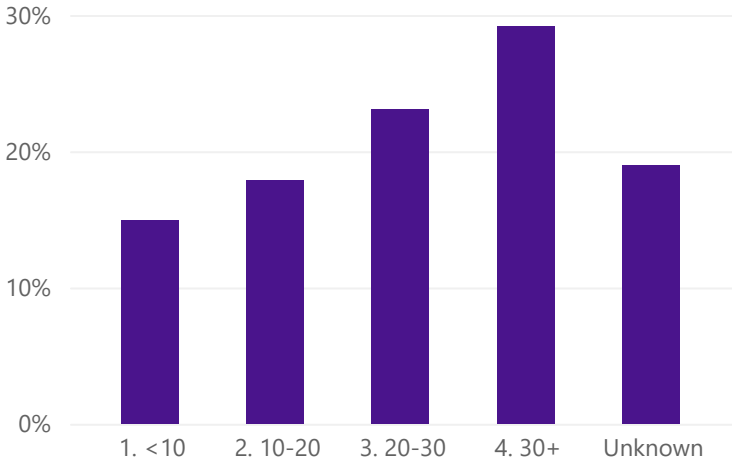


grade	1. <670	2. 670-699	3. 700-739	4. 740+	Total
A	9.1%	7.9%	6.4%	4.3%	6.0%
B	15.2%	13.8%	12.5%	11.8%	13.4%
C	24.0%	22.6%	21.0%	20.7%	22.4%
D	31.4%	30.5%	28.9%	28.7%	30.4%
E	40.0%	38.5%	35.8%	36.6%	38.4%
F	45.9%	45.1%	43.6%	43.5%	45.1%
G	50.3%	49.4%	47.8%	57.5%	49.7%
Total	26.3%	22.5%	16.1%	9.7%	20.0%

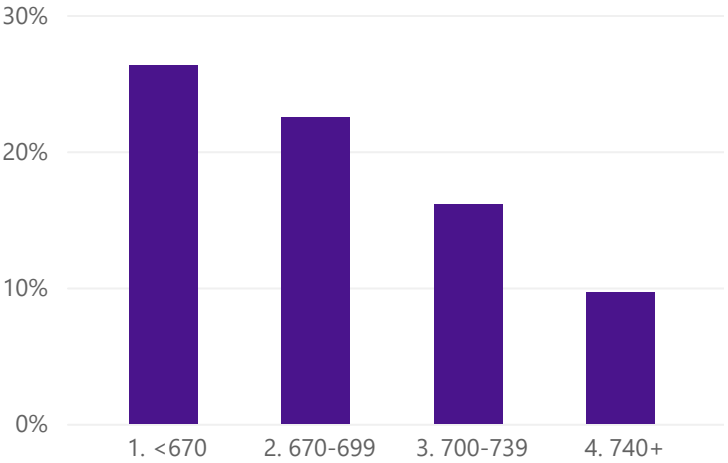
Default Rate % by year and grade



Default Rate % by dti_band



Default Rate % by fico_band



risk_segment	Loans	Default Rate %	Avg Interest Rate	ROI %
3. High	4,27,649.00	35.7%	19.76%	-1.9%
2. Medium	11,43,941.00	19.9%	13.62%	3.7%
1. Low	6,89,078.00	8.8%	8.87%	5.2%
Total	22,60,668.00	20.0%	13.38%	2.9%

The risk score separates borrowers: default is 8.8% in Low vs 35.7% in High, and High-segment ROI is -1.9%. 2017-18 vintages are excluded because most of those loans are still open.

Finance: Profit and Budget

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ROI %

2.9%

Gross Loss

\$3.0bn

Net Profit

\$554.8M

Loss Rate %

15.5%

Overview

Loans

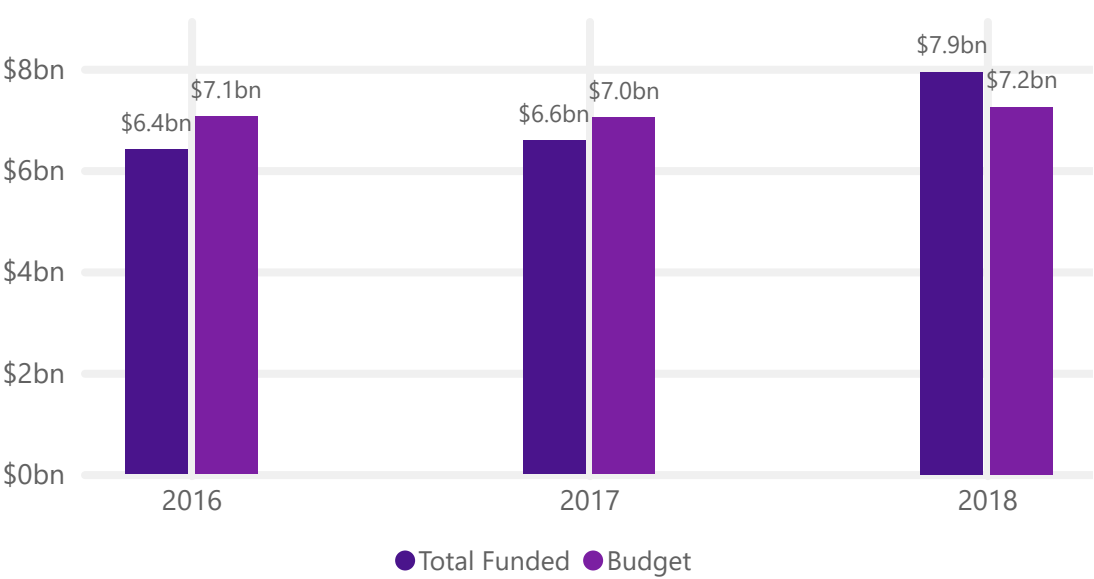
Risk

Finance

Net Profit by grade

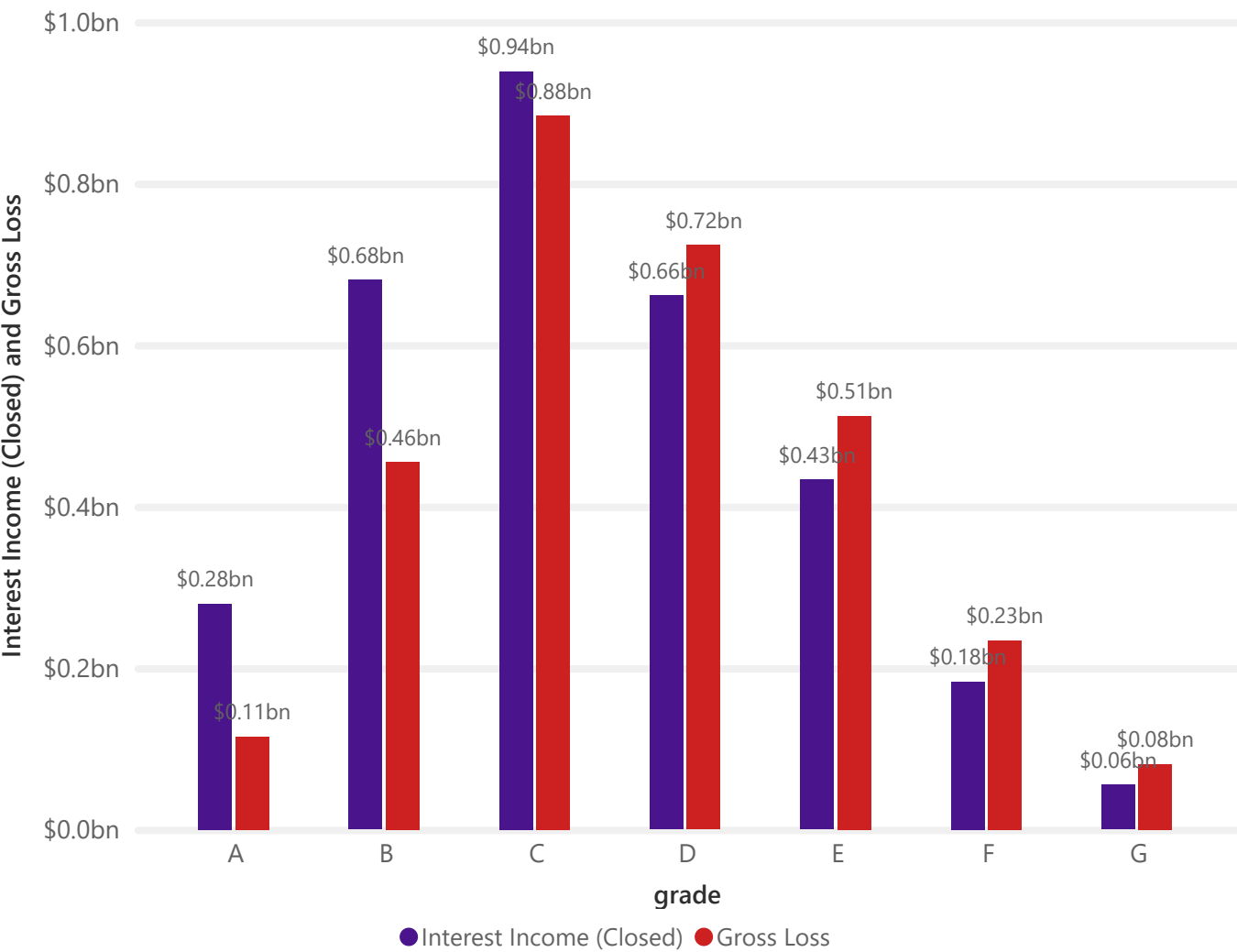


Total Funded and Budget by year



year	Total Funded	Budget	Variance	Variance %
2016	\$6,40,05,41,700.0	\$7,05,93,68,996	(\$65,88,27,296)	-9.3%
2017	\$6,58,49,57,075.0	\$7,04,05,95,872	(\$45,56,38,797)	-6.5%
2018	\$7,93,62,63,150.0	\$7,24,34,52,786	\$69,28,10,364	9.6%
Total	\$20,92,17,61,925.0	\$21,34,34,17,654	(\$42,16,55,729)	-2.0%

Interest Income (Closed) and Gross Loss by grade



A and B earned \$449.6M while E, F and G lost \$60.8M. Funding missed budget in 2016 (-9.3%) and 2017 (-6.5%) and beat it in 2018 (+9.6%). Budget is simulated: prior-year same month + 10%.